

Norway is similar in that it also specifies a flexible spending rule, in this case 4% of the value of the fund. Chapter 5 will show that Timor-Leste is actually closer to economic theory, which advocates setting a payout rule based on *total* wealth, rather than just *financial* wealth. Both countries, however, have well-defined rules for how the funds should be tapped, through which the monies are gradually drawn down.

Constant (proportional) spending rules are not the only way to draw money from a SWF. The precautionary motive for a SWF is to hold adequate reserves to meet unexpected large, negative shocks to a country's economy. SWFs designed to be drawn upon during such bad times are sometimes called *reserve* or *stabilization funds*, and they are special cases of SWFs. Chile's first SWF (it now has two) is designed to store copper revenues during good times, and be drawn down during bad times. It was originally called the Copper Stabilization Fund. But during bad times some governments draw on SWFs that are not specifically designated as reserve or stabilization funds. When oil prices fell below \$10 per barrel in the 1990s, the Saudi government transferred money from SAMA to finance Keynesian-style stimulus spending. The Saudi government also tapped SAMA during the 2008 financial crisis. Transfers from the Kuwait Investment Authority (KIA) allowed Kuwait to rebuild its economy after the 1990 Gulf War, which is the only time that Kuwait's SWF has been drawn upon.

Spending rules—either proportional payouts each year like Timor-Leste, or contingent payouts during bad times for Chile or Kuwait—are liabilities of SWFs. When SWFs provide funds to governments during downturns, sufficient liquid reserves need to be on hand. A few SWFs have never had payouts—yet. Singapore's GIC, for example, has never been tapped.¹³ But if the reason that GIC exists is a precautionary one, then it would likely be drawn down in the worst possible circumstances—outbreaks of conflict, natural disasters, or economic calamities. And few types of assets retain their value at such times, especially during war. Therefore the investments of the SWF should reflect the fund's purpose and the way that monies are to be disbursed.

One criticism of Timor-Leste is that the government has been consistently withdrawing more from the Petroleum Fund than the ESI level: the government spent 3.8% in 2009, 4.8% in 2010, and 4.3% in 2011.¹⁴ According to the Asian Development Bank, most of the recent economic growth in Timor-Leste has been

¹³ Norway has a second, much smaller SWF, The Government Pension Fund–Norway (also called Folketrygdfondet), which invests primarily in Norway and in other Nordic countries. There is no payout from the fund, or planned new injections of capital, so Folketrygdfondet is essentially a closed-end fund (see chapter 16).

¹⁴ IRIN, "Is Timor-Leste's Plan for Oil Fund Investments a Risk Worth Taking?" *Guardian*, Oct. 24, 2011.